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India on a Time Bomb

The mismatch between jobs, skills and societal structures warrants urgent attention and reforms to get a grip on the impending crisis

After a record creation of 1.9 million jobs in 2007, we are likely to end 2008 on a sombre note of just 3 per cent expansion in the organised sector. While the million-plus jobs created will still be the envy of the western world, we need to see it in the right context. When the unemployment rate hit 6 per cent in the US last month, all hell broke loose with stock indices falling and the media yelling for government intervention. In India, we have had 9-11 per cent unemployment for the last five years, measured by the same method used in other countries. There is very little popular attention over this, leave alone its emergence as a political issue. In a country where employment in the organised sector is only 9 per cent of the total workforce, there is so much of hidden underemployment in the name of the informal sector. Thanks to the strong presence of the family as an entrepreneurial launch-pad, India has contained unemployment till now.

The impact of the global meltdown on the Indian job market may prove to be the proverbial last straw. As the Employment Trends Survey predicts, the net increase in the organised sector employment may fall to just 6.67 lakh in 2009. We can estimate new overseas job creation to be around four lakh, a 20 per cent dip from 2008, given the downtrend in energy, construction and retail sectors, especially in the Middle East. The jobs created via the organised flexi-staffing route are likely to be confined at two lakh. With nine million youngsters set to enter the job market in 2009, only about 17 per cent will get one.

Many an economist has warned us that our demographic dividend can be a boon or a bane depending on what we do with our youth. With a sharp increase in retention rates in schools in the last decade, the profile of the youth entering the job market has dramatically changed. A BCG study concludes that over the next five years, India will have about a 1.3-million surplus of untrained and undereducated people. The irony is that we will also fall short of real talent by about 5.3 million. We will have a surplus that we will not need and a deficit that we

cannot fulfil. The issue of employability has to be dealt with as an emergency. The National Skill Development Mission that identified the issue rightly and has the relevant framework for action seems caught in bureaucracy. The Rs 15,000-crore dream project that could have been for HRD what Golden Quadrilateral was for physical infrastructure, is in want of strong missionary political leadership.

Freeing India from the shackles of outdated labour laws brooks no delay. The crisis of 1991, when we had to pledge our gold to finance imports, triggered an entire wave of reforms. The crisis of 2009, to be caused by mismatch between jobs, skills and societal structures, will be no less. Moving labour laws from the Concurrent List to the State List can initiate healthy competition among states to reform fast for greater investment. Implementing the Ravindra Verma Commission recommendations to integrate the present 147 labour laws into five mother laws can curb litigation. Key changes in the Contract Labour Act can open the door for the organised sector to create at least a million jobs in three years. If we address issues of eliminating, harmonising and re-engineering the plethora of labour laws in India, we can attempt to defuse the socio-economic time bomb ticking away unnoticed and uncared for.

Our National Employment Service, which has about a thousand centres, is able to facilitate only about a lakh of jobs annually. Invested with the right structure, systems and processes, this organisation has the capacity to facilitate at least three times this number. Employment Exchanges have to transform into candidate-focused career centres that meet the needs of myriad SMEs seeking quality manpower at an affordable cost.

The cause of the failure of global financial architecture may be in the western world, but the impact is going to be felt by the Indian youth in terms of loss of jobs. History will not forgive us if we do not set right the legal structures, procedural obstacles and political apathy that keeps our youth away from acquiring the right skills leading to the right careers.

